

Value Proposition Design

To understand the value proposition of the business and the product customer fit, the products and customers need to be understood separately and then together, to understand whether the gains and pains are delivered or not, for the corresponding customer segments.

In the book **Value Proposition Design**, written by **Alex Osterwalder, Yvette Pigneur, Greg Bernarda, and Alan Smith**, the authors propose a **value proposition canvas**.

The value proposition model (in the above book) focuses on products and services, the way they create gains and relieve pains, and the customer profile for each customer segment. The customer profile here would refer to all the gains that the customer wishes to create and the pains and risks that he wishes to relieve himself of, upon consumption of the product or the service. The words - gains and pains, were first introduced in this book and have become popular since then.

They say, "The value proposition canvas has two sides. With the customer profile, you clarify your customer understanding. With the value map, you describe how you intend to create value for the customer. You achieve fit between the two when one meets the other."

This model should be applied for each product and service of the firm or industry and for each customer segment to understand what value is being created and how it is being created.

